Amendment of section 112.

30. In section 112 of the Income-tax Act, in sub-section (1), for the clauses (*a*), (*b*), (*c*), (*d*) and the first proviso, the following shall be substituted and shall be deemed to have been substituted with effect from the 23rd day of July, 2024, namely:—

"(*a*) in the case of an individual or a Hindu undivided family, being a resident,—

(*i*) the amount of income-tax payable on the total income as reduced by the amount of such long-term capital gains, had the total income as so reduced been his total income; and

(*ii*) the amount of income-tax calculated on such long-term capital gains,—

(*A*) at the rate of twenty per cent for any transfer which takes place before the 23rd day of July, 2024; and

(*B*) at the rate of twelve and one-half per cent for any transfer which takes place on or after the 23rd day of July, 2024:

Provided that where the total income as reduced by such long-term capital gains is below the maximum amount which is not chargeable to income-tax, then, such long-term capital gains shall be reduced by the amount by which the total income as so reduced falls short of the maximum amount which is not chargeable to income-tax and the tax on the balance of such long-term capital gains shall be computed at the rate as applicable in sub-clause (*ii*):

Provided further that in the case of transfer of a long-term capital asset, being land or building or both, which is acquired before the 23rd day of July, 2024, where the income-tax computed under item (*B*) exceeds the income-tax computed in accordance with the provisions of this Act, as they stood immediately before their amendment by the Finance (No. 2) Act, 2024, such excess shall be ignored;.

(*b*) in the case of a domestic company,—

(*i*) the amount of income-tax payable on the total income as reduced by the amount of such long-term capital gains, had the total income as so reduced been its total income; and

(*ii*) the amount of income-tax calculated on such long-term capital gains,—

(*A*) at the rate of twenty per cent for any transfer which takes place before the 23rd day of July, 2024; and

(*B*) at the rate of twelve and one-half per cent for any transfer which takes place on or after the 23rd day of July, 2024;

(*c*) in the case of a non-resident (not being a company) or a foreign company,—

(*i*) the amount of income-tax payable on the total income as reduced by the amount of such long-term capital gains, had the total income as so reduced been its total income; and

(*ii*) the amount of income-tax calculated on long-term capital gains [except where such gain arises from transfer of capital asset referred to in sub-clause (*iii*)],—

(*A*) at the rate of twenty per cent for any transfer which takes place before the 23rd day of July, 2024; and

(*B*) at the rate of twelve and one-half per cent for any transfer which takes place on or after the 23rd day of July, 2024; and

(*iii*) the amount of income-tax on long-term capital gains arising from the transfer of a capital asset, being unlisted securities or shares of a company not being a company in which the public are substantially interested, as computed without giving effect to the first and second provisos to section 48, calculated on such long-term capital gains,—

(*A*) at the rate of ten per cent for any transfer which takes place before the 23rd day of July, 2024; and

(*B*) at the rate of twelve and one-half per cent for any transfer which takes place on or after the 23rd day of July, 2024;

(*d*) in any other case of a resident,—

(*i*) the amount of income-tax payable on the total income as reduced by the amount of long-term capital gains, had the total income as so reduced been its total income; and

(*ii*) the amount of income-tax calculated on such long-term capital gains,—

(*A*) at the rate of twenty per cent for any transfer which takes place before the 23rd day of July, 2024; and

(*B*) at the rate of twelve and one-half per cent for any transfer which takes place on or after the 23rd day of July, 2024:

Provided that where the tax payable in respect of any income arising from the transfer of a long-term capital asset which takes place before the 23rd day of July, 2024, being listed securities (other than a unit) or zero coupon bond, exceeds ten per cent of the amount of capital gains before giving effect to the provisions of the second proviso to section 48, then, such excess shall be ignored for the purpose of computing the tax payable by the assessee:".